Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

19.1 Barter

In a **barter economy**, transactions of goods are very costly. The reasons include:

- Difficulty in meeting double coincidence of wants
- Difficulty in reaching an agreement on the exchange ratio
  - Indivisibility
  - Heterogeneity
- Lack of a common measure of value
- Difficulty in storing wealth
- Difficulty in carrying around

19.2 Money

Definition and functions of money

- **Money** is anything that is **generally acceptable as a medium of exchange**.
- Functions of money

Medium of exchange	Money **serves as a medium to facilitate people's buying and selling of goods and services**.
Unit of account	Money is used to **quote the prices and values of goods and services**.
Store of value	People can **store purchasing power** as an asset in the form of money **for future spending on goods and services**.
Standard of deferred payment	**Future payments are expressed in terms of money.**

Money still exists even when all transactions are settled through electronic transfers.

Hyperinflation affects the functions of money as a medium of exchange, a store of value and a standard of deferred payment as it reduces the purchasing power of money.

Qualities of good money

- Generally acceptable
- Stable in value
- Portable
- Divisible
- Homogeneous
- Durable

The value of money lies in its purchasing power instead of its face value.

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Types of money

- Commodity money
- Convertible money
- Fiat money
- Electronic money
- Deposit
  - Demand deposit
  - Savings deposit
  - Time deposit
  - Negotiable certificate of deposit (NCD)

Currency issuing system in Hong Kong

- The coins and ten-dollar notes circulating in Hong Kong are issued by the HKSAR Government through the Hong Kong Monetary Authority.
- Banknotes of other face values are issued by:
  - The Hongkong and Shanghai Banking Corporation Limited
  - Standard Chartered Bank (Hong Kong) Limited
  - Bank of China (Hong Kong) Limited
- The Hong Kong dollar is fully backed by foreign exchange reserves.
- The note-issuing banks have to submit US dollars at a fixed exchange rate of US$1 to HK$7.8 to the Exchange Fund to obtain the Certificate of Indebtedness before issuing banknotes.
- The currency issuing system in Hong Kong is one on a foreign exchange standard.

19.3 Banking

Central bank

- A **central bank** is the bank of a government.
- Functions of a central bank
  - To issue currency
  - To act as government's banker and adviser
  - To supervise and monitor the monetary sector
  - To act as the lender of last resort
  - To administer the clearing house
  - To formulate and carry out monetary policies
  - To manage a country's official reserves
  - To keep deposit-taking institutions' cash reserve

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- The HKMA and other banking institutions share the jobs of a central bank in Hong Kong as follows:

Central bank function	Responsible institution(s)
To issue currency	- The HKMA: issues coins and ten-dollar notes - The three note-issuing banks: issue banknotes of other face values
To act as government's banker and adviser	- The Hongkong and Shanghai Banking Corporation Limited: the government's bank - The Treasury: collecting money and arranging payments for the government - The HKMA: an adviser to the government on financial and banking matters
To supervise and monitor the monetary sector	The HKMA
To act as the lender of last resort	The HKMA
To administer the clearing house	Hong Kong Interbank Clearing Limited
To formulate and carry out monetary policies	The HKMA
To manage Hong Kong's official reserves	The HKMA



The Hong Kong Monetary Authority does not determine the market interest rate of Hong Kong.

Commercial bank

- A commercial bank is a financial intermediary. Its role is to **channel savings into investments**.
- Types of commercial banks
  - retail banks
  - merchant banks
- Functions of a commercial bank
  - Accepting various types of deposits
  - Providing loans
  - Issuing letters of credit (LC) and discounting bills of exchange
  - Underwriting new shares
  - Other services e.g. overseas remittance

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The three-tier banking system in Hong Kong

Features	Licensed banks	Restricted licence banks	Deposit-taking companies
Minimum paid-up capital	HK$300 million	HK$100 million	HK$25 million
Types of deposits accepted	All types of deposits	Time deposits and NCDs	
Minimum amount of deposits and maturity	Deposits of any amount and maturity	Deposits of any maturity of HK$500,000 or above	Deposits of HK$100,000 or above with an original maturity of at least three months

19.4 Hong Kong as an International Financial Centre

Factors contributing to Hong Kong's development as a financial centre

- Favourable geographical position
- No restriction on capital flows
- Strong links with the Mainland
- Well-developed financial infrastructure
- Effective and transparent legal framework
- Highly-educated workforce
- Low tax rate

Effects of being a financial centre on the Hong Kong economy

- Fostering the economic development of Hong Kong
- Providing employment opportunities
- Providing investment opportunities
- Sensitive to external shocks

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